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Student assoc. scrambles for money to pay liability to UC

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(*#_Company_Name_#*) BERKELEY, Calif. -- The Associated Students of the University of California has failed in its obligation to pay the university nearly half a million dollars gleaned from a recent increase in student fees, leaving the student government severely strapped for cash.

The ASUC contingency fund, usually used to cover such emergency situations, currently contains less than $20,000.

This failure represents a violation of UC policy requiring the ASUC to return one third of the money generated by a student fee increase to need-based financial aid programs.

The controversy stems from the 2001 passage of Proposition 2, which raised the student activity fee by $17.50 per student per semester. Proposition 2 money has subsequently gone to the ASUC for distribution primarily to student groups.

The ASUC budget for 2002-03, which last year's senate decided upon, did not make any allowances for this substantial portion of the nearly $1.9 million budget to be returned in this manner.

In sharp contrast, the fall budgeting process of the year immediately following Proposition 2's passage, when $1.1 million in student fees were disbursed to the ASUC, returned $367,000 to the university for financial aid in accordance with UC policy.

But this year, that mandatory allocation was not made.

"I think that last year's senate screwed up," said Student Action Senator Cliff Costa. "We are going to solve it for them."

Over the past two months, the ASUC Senate addressed the problem behind closed doors in meetings known as executive sessions.

ASUC President Jesse Gabriel cited "pending litigation" as the reason for the secrecy.

"We are having some financial issues with the university, but I suspect we will work this out," he said.

It is unclear at this time where the money will be drawn from to fulfill this obligation because the ASUC has already completed its 2002-03 budgetary allocations.

Senators have so far proposed a variety of different methods to pay back the university, but no concrete plans have been made.

"It's something the ASUC Senate and executives still haven't figure out," said Student Action Senator Jenn Ro, chair of the Senate Finance Committee.

Some senators have proposed using money from both the Long-Term Investment fund and the Legal Defense fund, although the amount accessible from these funds is less than $125,000.

"It is a crisis for the ASUC because now we need to allocate $400,000 from some funds," Costa said.

Many senators agreed that money should not be taken away from student groups who were already allocated money for this year.

"If anything comes of this, it is definitely within our capabilities to solve this so that it won't hurt student groups," Gabriel said.

Although the university has not yet demanded the payments from the ASUC, senators said they are worried it could start to charge interest on the money.

"If we owe the university money, they could just start tacking money on top of that," said Berkeley College Republicans Senator Paul LaFata.

The debt is only one of many financial obstacles facing the ASUC.

"We are all facing deficits in some places and cutbacks in others," Ro said.

"It hurts in small ways, and it hurts in big ways," she added, citing the financial aid debacle as one of the major issues facing the ASUC.

A senate bill to resolve the situation is currently being drafted, senators said.

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